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C5+C6
Reliefs and The computation of capital gains tax



Lecture example 1 -Solution

	£
Proceeds	400,000
Less: cost	(167,500)
Gain before PRR	232,500
Less : private residence relief (working) $\frac{180}{240} \times 232{,}500$	(174,375)
Gain	58,125

Working:

Period		Total months	Exempt months	Chargeable Months
2005.10.1 – 2009.3.31	Actual occupied	42	42	0
2009.4.1 – 2012.12.31	Working abroad	45	45	0
2013.1.1– 2019.12.31	Actual occupied	84	84	0
2020.1.1 – 2025.9.30	Not lived	69	9	60
		240	180	60

Lecture example 2- Solution

	£
Proceeds	155,000
Less: cost	(100,000)
Gain before private residence relief	55,000
Less: private residence relief $\frac{4}{5} \times$ 55,000	(44,000)
Chargeable gain	11,000

Lecture example 3- Solution

	£
Proceeds	326,000
Less: cost	(122,000)
Gain before private residence relief	204,000
Less: private residence relief (working)75%×204,000	(153,000)
Less letting exemption: lowest of (a) the amount of private residence relief: 153,000 (b) the amount of the non-exempt gain attributable to the letting: 204,000×25% (c) 40,000	(40,000)
Gain	11,000

Lecture example 4- Solution

Capital gains qualifying for business asset disposal relief	£
Offices	450,000
Plant	75,000
Shares	600,000
	1,125,000
Other capital gains	
Residential property investment	120,700
Annual exempt amount	(3,000)
Capital loss brought forward	(15,000)
	102,700

Lecture example 5- Solution

Jason	£
Deemed proceeds	210,000
Less: cost	(50,000)
Gain①	160,000
Gift holdover relief （② -① 倒算出来的金额）	(115,000)
Taxed now 95,000 － 50,000②	45,000
Jason's son	
Proceeds	250,000
Less: Base cost (210,000 - Gift holdover relief 115,000)	(95,000)
Gain	155,000

Lecture example 6- Solution

James	£
Deemed proceeds	200,000
Less: cost	(100,000)
Gain	100,000
Gift holdover relief $100{,}000 \times \frac{270{,}000 + 130{,}000}{270{,}000 + 130{,}000 + 20{,}000}$	(95,238)
Gain taxed now on donor	4,762
Base cost to James's son:	
Market value	200,000
Less: gift holdover relief	(95,238)
Base cost	104,762

Lecture example 7- Solution

a)	
Old asset：	£
Proceeds	250,000
Cost	(140,000)
Gain	110,000
Less: rollover relief	(110,000)
Tax now (260,000 ＞ 250,000)	0
Rest of gain = 110,000-0=110,000 can be deferred	
New asset:	
Original cost	260,000
Gain deferred	(110,000)
Base cost	150,000

Lecture example 7- Solution

b)	
Old asset：	£
Proceeds	250,000
Cost	(140,000)
Gain	110,000
Less: rollover relief	(80,000)
Tax now	30,000
Note:	
Proceeds not reinvested=250,000 － 220,000=30,000 taxed now	
Rest of gain=110,000 － 30,000=80,000 can be deferred	
New asset:	
Original cost	220,000
Gain deferred	(80,000)
Base cost	140,000

Lecture example 7- Solution

c)	£
Proceed	250,000
Less: cost	(140,000)
Gain	110,000
Less: rollover relief	(0)
Tax now	110,000
Note: 250,000-130,000=120,000 ＞ 110,000, No rollover relief.	
Base cost of new property = purchase cost	130,000

Lecture example 8- Solution

Gain on factory frozen on 10 August 2015	£
Proceeds	125,000
Less: cost	(75,000)
Gain	50,000

The gain of £50,000 is deferred until earliest of:

a. Disposal of the new asset (7 December 2029)
b. Date the new asset ceases to be used in the trade (not exist in this question)
c. 10 years after the new asset was acquired (1 June 2025)

So, the gain should be taxed on 1 June 2025, during the tax year 2025-26.

Lecture example 9-Solution

	£
Gross/Netproceeds	30,600
Less: allowable cost	(13,000)
Chargeable gain	17,600
Less: annual exempt amount	(3,000)
Taxable gain	14,600
CGT payable (W)	
14,600 * 18%	2,628
Workings: Basic rate band =£37,700 + £4,400 * 100/80 = £43,200	
Unused basic rate band = £43,200 — (£41,000 — £12,570) = £14,770	

Lecture example 10-Solution

	£
Antique vase gain	13,300
Residential property gain	38,600
Chargeable gain	51,900
Less: annual exempt amount	(3,000)
Taxablegain	48,900
CGT payable	
37,700*18%	6,786
(48,900 － 37,700) *24%	2,688
	9,474

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谢谢观看

THANK FOR WATCHING